The Violent Effects of Apex Corruption

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Abstract

We document that *apex* corruption scandals—corrupt acts implicating top-level politicians—cause immediate and persistent increases in violent protests across Latin America. Using a panel of 176 corruption scandals across 23 countries from 2008 to 2018, merged with daily protest counts, we establish three facts: The daily count of violent protests increases by about 0.2 standard deviations in the month immediately after the scandal. The effect appears within a week of the scandal, and remains positive even 4 months later. The magnitude of the effect scales sharply with the political rank of the implicated agent: scandals involving sitting presidents show effects 2–3 times larger than those involving Governors or Congress members. Our findings identify a high-frequency, high-magnitude channel through which corruption shapes the political environment in democracies.

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1 Introduction

Political violence is among the most consequential outcomes a democracy can experience. Civil unrest disrupts economic activity, displaces investment, and—when met with state violence in return—erodes the social contract that legitimizes the regime. An influencial economic literature has linked political violence to economic shocks (Miguel et al. 2004; McGuirk and Burke 2020), to commodity rents and network structure (König et al. 2017), and—in the recent comparative work—to abrupt withdrawals of foreign assistance (Rohner et al. 2026). The contribution of political shocks to events that change citizens' beliefs about who governs them has received considerably less attention. In this paper, we argue that disclosures of apex corruption are one such shock, and that the behavioral consequences for political violence are large, immediate, and persistent.

Citizens' perceptions of corruption prevalence have risen in the past two decades (Cantoni et al. 2024). Moreover, corruption scandals associated to *apex* politicians have drawn more attention from news outlets in recent years (Rivera et al. 2024); perhaps unsurprisingly due to the expansion of social media, which reduces the cost of diffusing information and enables news outlets to reach broader audiences (Enikolopov et al. 2018; Tufekci 2024). While exposing corruption scandals on news outlets can have positive desired effects, such as political accountability or crackdowns of corruption networks (Ferraz and Finan 2011; Arias et al. 2019, 2022), it can also have negative undesired effects on democratic values (Ajzenman 2021; Rivera et al. 2024) and away from the polling booths. Public exposure of malfeasance by sitting officials changes what citizens believe about who governs them and about the rules under which the government operates. The most consequential corruption-related political moments of the last decade, such as Barzil's Lava Jato[1], were mobilization events, not electoral ones.

We document that apex corruption—corrupt acts implicating top-level politicians—triggers immediate and persistent increases in violent protests across Latin American democracies. Using a panel of 176 corruption scandals across 23 countries from 2008 to 2018, merged with daily protest counts from the Mass Mobilization (MM) project (Clark and Regan 2016), we establish three facts. First, the daily count of violent protests increases by about 0.2 standard deviations in the month immediately after the scandal. The overall count of protests and the count of peaceful protests, however, remain largely unaffected. Second, the effect appears within a week of the scandal break out, and remains positive even 4 months later, relative to the immediate month before the scandal. Third, the magnitude of the effect scales sharply with the political rank of the implicated agent: scandals involving sitting presidents show effects 2–3 times larger than those involving Governors or members of Congress. Scandals involving Supreme Court justices, lower judiciary, and other non-apex officials

[1] See XXX link for more information on the scandal.

leave protest patterns broadly unchanged.

2 Method

2.1 Study Design and Measures

To conduct the empirical analyses we exploit the randomness of corruption scandal breakthroughs in Latinamerican news outlets between 2008 and 2018. In particular, we use a stacked difference-in-differences design in which we compare the evolution of protest occurrences in countries with scandals to those without scandals. Our analysis dataset is created by: (i) Scraping the Twitter accounts from news outlets in Latin America to identify the calendar date in which a scandal in a given country is first reported[2], (ii) create an event-window of $T \in \{30, 120\}$ days before and after the scandal, (iii) merge the country-day count of protests from the MM data to create a 'scandal-protest' for a given country in a given calendar-date window, and lastly, (iv) append all such scandal-protest datasets to build the analysis dataset.

The MM dataset is available for the period 1990–2020, and it includes information on the date, size, and location of any episodes where 50 or more protesters publicly demonstrate against the State. If a protest lasts X days, we code the occurrence of a protest at date $t, t+1, \ldots, t+X-1$. Additionally, if the same protest is associated with more than one date (e.g., because the news source for the protest cannot accurately identify whether it is a continued or a new protest), then we keep the date of the earliest protest. For a protest to be qualified as "violent", "[t]he violence could include anything from riotous behavior that destroys property to shooting at the police or military." Our main outcome is the number of protests occurring in a given country-date. We focus on the years 2008–2018, given that our corruption scandals data is available for those years.

Our estimating equation is:

$$Y_{c(s)t} = \beta\ \mathbb{1}\{t \geq \text{Scandal Date}_{c(s)}\} + \alpha_d + \lambda_m + \theta_{cy} \tag{1}$$

where α_d denote day of the week fixed effects, λ_m denote month of the year fixed effects, $\theta_c y$ denote country-year fixed effects, Scandal $\text{Date}_{c(s)}$ is the date in which corruption scandal s in country c occurs and $Y_{c(s)t}$ denotes the outcome of interest in country c at date t.

To trace dynamics we replace $\mathbb{1}\{t \geq \text{Scandal Date}_{c(s)}\}$ in Equation 1 with a saturated set of bin indicators. At the narrow window ($T = 30$) we use 6-day bins, which strike a balance between the

[2] We keep the date of the first news report to (a) be able to estimate the effect of a scoop, and (b) avoid double-counting a scandal due to follow-up news reports on it.

temporal resolution needed to detect a short-horizon response and the within-bin sample size needed to estimate each bin coefficient precisely. At the wide window ($T = 120$) we use 30-day bins. The reference category in each event-study graph is the bin immediately before disclosure ($w_{s,t} \in [-6, -1]$ at the narrow window, $w_{s,t} \in [-30, -1]$ at the wide window).

The identification assumption we rely on for our estimates to be interpreted as causal is that, conditional on country-year, month-of-year, and day-of-week fixed effects, the within-year date of disclosure of a scandal is as-good-as-randomly assigned in relation to the protest baseline of the country. The country-year fixed effects absorb every source of country-year-level confounding such as pre-existing political instability, electoral calendars, or institutional reforms. The day-of-week and month-of-year fixed effects absorb weekly and seasonal cycles in protest activity.

3 Results

4 Discussion

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